

Commenting Party: Competitive Carriers Association (“CCA”)

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Notice of Inquiry
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COMMENTS OF COMPETITIVE CARRIERS ASSOCIATION

Competitive Carriers Association (“CCA”)¹ submits the following comments in response to a Notice of Inquiry (“Notice”), in which the United States Copyright Office (the “Office”) seeks additional comment on the operation of the Section 1201 rulemaking process under the Digital Millennium Copyright Act (“DMCA”). These comments focus on the Notice’s proposal to adopt “a permanent exemption to permit circumvention of access controls on wireless devices for purposes of ‘unlocking’ such devices – *i.e.*, enabling them to connect to the network of a different mobile wireless carrier.”² CCA has been the principal advocate for this exemption and supports adoption of the Notice’s proposal, consistent with the 2015 unlocking exemption.

¹ CCA is the leading association for competitive wireless providers and stakeholders across the United States. CCA’s membership includes nearly 100 competitive wireless providers ranging from small, rural carriers serving fewer than 5,000 subscribers, to regional and national providers serving millions of customers. CCA also represents approximately 200 associate members consisting of small businesses, vendors, and suppliers that provide products and services throughout the mobile communications supply chain.

² U.S. Copyright Office, Library of Congress, Section 1201 Study: Request for Additional Comments, *Notice of Inquiry*, Docket No. 2015-8 at 4 (rel. Sept. 27, 2016) (the “Notice”).

BACKGROUND

Over the past decade, CCA has participated in several rounds of the Section 1201 triennial rulemaking proceedings seeking exemptions that would allow circumvention of access controls on wireless devices, such as mobile phones and tablets, so users may easily connect to wireless networks through their preferred carrier. It was a win for consumers and competitive carriers alike when the Librarian of Congress adopted exemptions permitting unlocking of wireless handsets in 2006, 2010, 2012, and 2015.³

As CCA's initial comments in these proceedings indicate, CCA was pleased that the Register of Copyrights (the "Register") recognized the need to reexamine the burdensome triennial rulemaking process and recommended that Congress revise Section 1201 to better account for exemptions that lack meaningful opposition or otherwise demonstrate a need for a permanent exemption.⁴

³ See U.S. COPYRIGHT OFFICE, SECTION 1201 RULEMAKING: SIXTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 138 (2015), *available at* <http://copyright.gov/1201/2015/registers-recommendation.pdf> ("2015 Recommendation"). In 2012, the adopted exemption was more restrictive and limited to wireless handsets obtained by January 26, 2013. In response to vocal public disapproval and advocacy from stakeholders, Congress passed the Unlocking Consumer Choice and Wireless Competition Act, which, among other things, reinstated the broader 2010 unlocking exemption for wireless handsets. Congress also directed the Copyright Office to examine and consider in the 2015 rulemaking proceeding whether additional types of devices should be included under this exemption. See Unlocking Consumer Choice and Wireless Competition Act, Pub. L. No. 113-144, 128 Stat. 1751 (2014) (the "Unlocking Act").

⁴ See *generally* Comments of CCA at 2 (filed Mar. 3, 2016) ("CCA Policy Study Comments") (CCA, among other things, agreed that "exemptions to the prohibition on circumvention for wireless devices are ripe for permanent consideration" and requested that the Register recommend that Congress adopt a permanent wireless device unlocking exemption).

DISCUSSION

CCA urges the Copyright Office to make permanent the device unlocking exemption as adopted in the 2015 triennial rulemaking (“2015 device exemption”).⁵ A device unlocking exemption is good public policy, providing consumers with greater choice of both wireless carrier and mobile device, as well as fostering competition in the mobile broadband marketplace. A permanent unlocking exemption will provide needed stability and certainty to carriers and consumers currently operating in a more competitive environment. The 2015 device exemption provides appropriate language for a permanent exemption. The 2015 exemption is more broadly written than its predecessors, encompassing technologies like wearables and other portable devices which will become increasingly ubiquitous as the Internet of Things (“IoT”) develops. Moreover, a permanent unlocking exemption will ease the substantial burden on those participating in the resource-intensive triennial rulemaking proceedings. In addition, the current exemption has received little objection.⁶ Congress and the record in these proceedings supports the contemplated 2015 device exemption. Accordingly, CCA supports making permanent the unlocking exemption for wireless devices as articulated by the 2015 exemption.

⁵ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 FR 65944, 65950 (Oct. 28, 2015) (“2015 Final Rule”).

⁶ See Testimony of Steven Berry before the United States Copyright Office, at pps. 33 – 34 (May 31, 2012), available at <http://copyright.gov/1201/2012/hearings/transcripts/hearing-05-31-2012.pdf>; see also Testimony of Steven Berry before the United States House of Representatives Committee on the Judiciary, Subcommittee on Courts, Intellectual Property and the Internet, *H.R. 1123, the “Unlocking Consumer Choice and Wireless Competition Act”* (June 6, 2013), available at <http://judiciary.house.gov/index.cfm/hearings?ID=379A2DB0-9D53-E1934DBB9687D1DFA54C>.

I. A PERMANENT UNLOCKING EXEMPTION WILL BENEFIT THE PUBLIC

Establishing a permanent unlocking exemption for wireless devices will result in significant and sustained public benefits by promoting competition, innovation and consumer choice. The unlocking exemption allows customers more freedom and flexibility to select the wireless provider of their choice. Absent an exemption for wireless device unlocking, wireless device owners may be forced to purchase a new, and oftentimes expensive, wireless handset to change service providers and connect to their preferred wireless network. This may result in substantial consumer costs in the form of the price paid for a new wireless device (while their current device becomes obsolete), lost personal information and other assets stored on the device such as contacts, music, apps, and wireless accessories, to name a few. These costs likely will hinder a consumer's ability to switch service providers, or otherwise prevent consumers from choosing to switch, thus diminishing competition. Consumers should not be forced to choose between being locked to an undesirable network or losing their device and the data that comes with it. Moreover, without a permanent exemption, every three years consumers and carriers will continue to experience uncertainty about the ability to unlock a device.⁷ Consumers should not have to worry about losing the right to use their devices on a network of their choosing.

Further, unlocking is particularly important to correct a market imbalance that, in the past, led to exclusive contracts between dominant carriers and original equipment manufacturers ("OEMs") for the most sought-after devices. This dynamic has, and would, prevent millions of consumers from accessing the latest devices, stifling competition and innovation.

⁷ A consistent exemption would provide a level of stability and certainty not only for consumers and providers, but also investors and innovators. See Policy Study Comments of New America's Open Technology Institute (filed Mar. 3, 2016).

II. THE 2015 DEVICE EXEMPTION PROVIDES APPROPRIATE LANGUAGE FOR A PERMANENT DEVICE UNLOCKING EXEMPTION

The 2015 exemption is appropriately written for permanent adoption of a device unlocking exemption. The 2015 exemption includes more expansive language than previous exemptions, while focusing on use of wireless devices as opposed to altering rights of content owners. Particularly, the 2015 exemption covers mobile phones and tablets, as well as mobile hotspots and other “portable mobile connectivity devices,” including wearable devices like smartwatches.⁸ This language will ensure the exemption continues to be meaningful to consumers and industry stakeholders as technology evolves over time.

III. THE RECORD REFLECTS A CLEAR NEED FOR THIS EXEMPTION

Providers and other stakeholders should not have to engage in a tedious and burdensome rulemaking proceeding every three years to protect the rights of their customers for an exemption like device unlocking, which faces little opposition. As CCA has explained – and the record strongly supports⁹ – the triennial rulemaking proceeding is resource-intensive, costly and inefficient with regard to certain, specific exemptions. Indeed, every three years device-unlocking proponents are required to prepare several rounds of written submissions, review a substantial written record,¹⁰ and potentially participate in a hearing before representatives of the

⁸ See 2015 Final Rule at 65950.

⁹ See, e.g., Policy Study Reply Comments of Electronic Frontier Foundation (filed Apr. 1, 2016); Policy Study Reply Comments of International Doc Association et al. (filed Apr. 1, 2016); Policy Study Reply Comments of U.S. Intellectual Property and Technology Law Clinic (filed Apr. 1, 2016); Policy Study Comments of ACM U.S. Public Policy Council (filed Mar. 3, 2016); Policy Study Comments of Consumers Union (filed Mar. 3, 2016); Policy Study Comments of DIYAbility (filed Mar. 3, 2016); Policy Study Comments of Massachusetts Institute of Technology Libraries (filed Mar. 3, 2016); Policy Study Comments of New Media Rights (filed Mar. 3, 2016); Comments of Owners Rights’ Initiative (filed Mar. 3, 2016); Policy Study Comments of Public Knowledge (filed Mar. 3, 2016).

¹⁰ Nearly 40,000 comments were submitted in the sixth triennial rulemaking. See U.S. Copyright Office, Library of Congress, Section 1201 Study: Notice and Request for Public Comment,

Office, even where there is no real objection.¹¹ If the proposed permanent exemption is not adopted, then CCA and other proponents will need to decide in 2018, and then 2021 and so on, whether they can expend substantial resources toward a rulemaking that may be otherwise directed in a more efficient manner.¹² Adopting a permanent exemption will change this pattern, and will “minimize the effort [participants] must expend” on the rulemaking process, benefiting and creating additional certainty for participants, consumers and the Office.¹³

IV. THERE IS CONGRESSIONAL SUPPORT FOR A PERMANENT DEVICE UNLOCKING EXEMPTION

Congress plainly supports a device unlocking exemption, and therefore the Office should move forward confidently in adopting a permanent unlocking exemption. A form of unlocking exemption has been recommended by the Register since 2006, with Congress continuously providing a stamp of approval for a wireless device unlocking exemption.¹⁴ The most apparent example of Congress’s support is its adoption of the Unlocking Act, which it enacted in response to the Office’s failure to recommend a suitable unlocking exemption for wireless devices.¹⁵ In

Notice of Inquiry, Docket No. 2015-8 at 5 (rel. Dec. 22, 2015) (the “2015 Section 1201 Study Notice”).

¹¹ See CCA Policy Study Comments at 5-11. For instance, although many of the different unlocking classes proposed by CCA in the 2015 rulemaking proceeding possessed similar and overlapping attributes, CCA still was required to prepare and file five separate petitions and rounds of comments for each class, even if an exemption was already in place.

¹² Policy Study Comments of Organization for Transformative Works at 8 (filed Mar. 3, 2016) (noting that with the adoption of more permanent exemptions, the “Copyright Office, copyright owners, and public interest organizations could focus elsewhere, where numerous other copyright issues remain in need of attention . . . [it] would also at least reduce the burden on the Copyright Office on a long-term basis.”); see also Policy Study Comments of DIYAbility (filed Mar. 3, 2016) (explaining that permanent exemptions would “streamline the comment process.”).

¹³ Policy Study Comments of Society of American Archivists at 4 (filed Mar. 3, 2016).

¹⁴ See *supra* note 2 and accompanying text.

¹⁵ See *supra* note 2.

passing the Unlocking Act, Congress “permanently established” that circumvention under any exemption to permit a wireless telephone handset or other wireless device to connect to a different telecommunications network may be initiated by the owner of the handset or device, or other specific individuals.¹⁶ Accordingly, the Copyright Office should not feel constrained by lack of Congressional support when adopting a permanent exemption for device unlocking.

V. THE RECORD SUPPORTS A PERMANENT DEVICE UNLOCKING EXEMPTION

The record in the 1201 Study supports expanding the categories of permanent exemptions as well. While there was limited opposition to expanding the categories of permanent exemptions generally, there was no significant opposition on the record to the adoption of a permanent exemption for wireless device unlocking. Public Knowledge explained that “the number of repeat exemption requests . . . speaks to the value of expanding the set of permanent exemption categories.”¹⁷ The Massachusetts Institute of Technology and University of Virginia Library agree that a “useful” permanent exemption would be one that permits circumvention for all lawful uses permitted by the Copyright Act, as contemplated by the Unlocking Act.¹⁸ An effective permanent exemption, especially one concerning technology, must also be forward-thinking. The language of the 2015 unlocking exemption is broad and covers a wide array of

¹⁶ 2015 Section 1201 Study Notice at 9; Unlocking Act, § 2(a), (c), 128 Stat. at 1751-52; *see also* 37 C.F.R. 201.40(b)(3) (2012).

¹⁷ Policy Study Comments of Public Knowledge at 9 (filed Mar 3, 2016); *see also* Policy Study Comments of Society of American Archivists at 3 (filed Mar. 3, 2016) (arguing that if a second renewal is granted, the exemption should become permanent.).

¹⁸ *See* Policy Study Comments of Massachusetts Institute of Technology at 5 (filed Mar. 3, 2016); Policy Study Comments of University of Virginia Library at 3 (filed Mar. 3, 2016); *see also* Policy Study Comments of Authors Alliance at 4 (filed Mar. 2, 2016); Policy Study Comments of Organization for Transformative Works at 8 (filed Mar. 3, 2016) (recognizing that the “best result would be a permanent exemption for noninfringing uses, avoiding the extended, wasteful wrangling involved” in the rulemaking proceedings).

wireless devices, including mobile phones, mobile tablets, portable mobile connectivity devices and wearable devices. As such, this exemption will evolve with new devices technology using the underlying software. The Office should adopt a permanent wireless device unlocking exemption consistent with the 2015 exemption.¹⁹

VI. CONCLUSION

The time is ripe for the Office to adopt a permanent exemption for unlocking wireless devices, as articulated by the 2015 device exemption. A permanent exemption for unlocking wireless devices will help ensure a consumer-friendly mobile broadband market wherein consumers can purchase a device and easily switch between compatible providers without taking a loss on their often substantial investment. It will also facilitate competition between providers, by limiting the impact of any exclusive arrangements between OEMs and dominant wireless carriers. Next, making permanent the wireless device unlocking exemption will reduce uncertainty and relieve consumer and industry groups from the formidable burden of participating in Triennial Rulemakings. Certainly, the public benefit of this exemption is uncontroversial and the record supports a permanent exemption. Further, adopting a permanent exemption for wireless devices enjoys Congressional support. For the foregoing reasons, CCA supports the adoption of a permanent exemption for wireless device unlocking, consistent with the 2015 unlocking exemption.

¹⁹ CCA would not be opposed to also including “Consumer Machines” and therefore allowing the Internet of Things (“IoT”) within the scope of the permanent exemption. This would include “smart” devices that utilize data connections to connect to the Internet or interact with other smart devices.

Respectfully submitted,

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